

San Luis Obispo Hospitality, LLC v. Starace Mechanical Heating & Air Conditioning,
26CV-0431

Hearing: Petition to Release Property from Mechanic's Lien

Date: July 15, 2026

San Luis Obispo Hospitality, LLC (Petitioner) filed this petition to release a mechanic's lien naming Starace Mechanical Heating & Air Conditioning as the Respondent.

Petitioner reports Respondent recorded a mechanics lien against its real property on October 18, 2021. A Release of Lien Bond was recorded on November 24, 2021. On January 27 2022, Respondent filed a civil action against Petitioner and others, which included a cause of action on the Release Bond (case no. 22CV-0045). The parties settled and the action was dismissed with prejudice in September 2022. (Simpson Decl., ¶¶ 2, 3, Exs. 1, 2.) Petitioner's counsel reports that despite requests, Respondent has not recorded a Release of Mechanic's lien. (Simpson Decl., ¶¶ 4, 5, Exs. 3, 4.)

A voluntary dismissal with prejudice is the functional equivalent of a final judgment. (*Roybal v. University Ford* (1989) 207 Cal.App.3d 1080, 1086-1087.) The dismissal in the related action was part of the parties' settlement in which Respondent accepted payment on the claim, released its claim, and agreed to record a Release of Mechanic's Lien. (Simpson Decl., Ex. 1 [Agt., p. 1, ¶¶ 1-2].) The Court finds Petitioner is entitled to a release order.

In addition to a showing that Petitioner is entitled to the requested relief, Petitioner also has the burden of showing compliance with the procedural service requirements. (Civ. Code, § 8488(a).)

At least ten days before filing a petition for release, the property owner must give the claimant notice demanding that the claimant execute and record a release of the claim of lien. (Civ. Code, § 8482.) Petitioner did so here on September 22, 2025. (Simpson Decl., Ex. 4.) The notice complies with Civil Code sections 8102 (contents of pre-filing notice) and 8106 (service of pre-filing notice). In addition to the pre-filing notice, the petition and a notice of hearing must be served on the claimant at least 15 days before the hearing. (Civ. Code, § 8486(b).) No proof of service has been filed.

As for Civil Code section 8484 (contents of petition), the exhibits attached to counsel's declaration provide the required information. The petition, however, must be verified. (Civ. Code, § 8484.) The petition here is not verified.

Finally, Petitioner seeks attorney fees and costs of \$2,100 incurred in filing this proceeding. The Court finds Petitioner is entitled to those fees and costs. (Civ. Code, § 8488.)

ORDER

The Court continues the matter to August 12, 2026, at 9:00 a.m. in Department 4, to give Petitioner the opportunity to address the procedural issues identified above.